

What a setup is supposed to look like.

Every long and every short you take has to look like one of the two charts in this document. If it does not look like the picture, it is not the trade — no matter how good the story is.

THE LONG

Buyers sweep a demand zone

Green line, price above the 50 SMA, pullback into a heavy green zone, bait wick below it, then a 4h **close** back above.

THE SHORT

Sellers reject a supply zone

Red line, price below the 50 SMA, rally into a heavy red zone, bait wick above it, then a 4h **close** back below.

EVERYTHING ELSE

Is not a trade

Mixed signals, mid-air entries, thin zones, wick entries and anything under 2:1. Sitting out is a position.

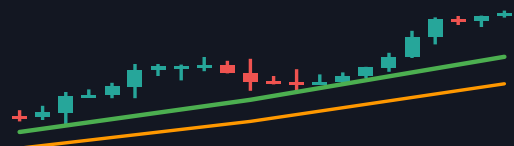
The one line that governs all of it: the stop hangs off the **LEVEL**, never off your entry — and when correct sizing leaves you a position too small to care about, that is the math telling you to skip the trade, not to tighten the stop.

The trend filter decides which direction you are allowed to trade

Two conditions, both required, checked before you even look at a zone. They do not vote — if they disagree, you sit out.

01

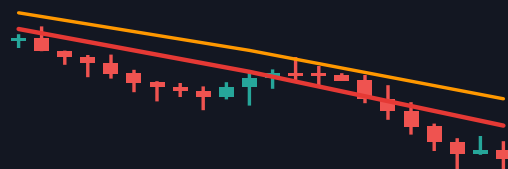
Green line + price above 50 SMA



LONGS ONLY

both conditions met

Red line + price below 50 SMA



SHORTS ONLY

both conditions met

Green line, but price BELOW 50 SMA



NO TRADE

signals disagree — sit out

What each line is telling you

SWING CALL green

trend is up → longs only

SWING CALL red

trend is down → shorts only

50 SMA

the slower confirmation

Price above both

long side unlocked

Price below both

short side unlocked

Any disagreement

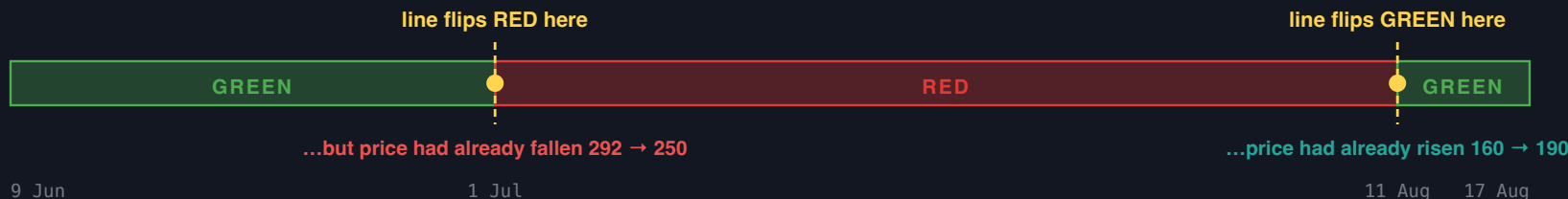
no trade

Know what this gate costs you

Both lines are moving averages, so both are **late by design**. The line will not turn red at the top — it turns red well after the top, once the damage is done. That is the trade-off you are accepting.

It is not built to get you the best entry — it is built to stop you fighting a trend, the single most expensive thing a discretionary swing trader does.

NBIS · what the SWING CALL line actually did, 9 Jun – 17 Aug 2026



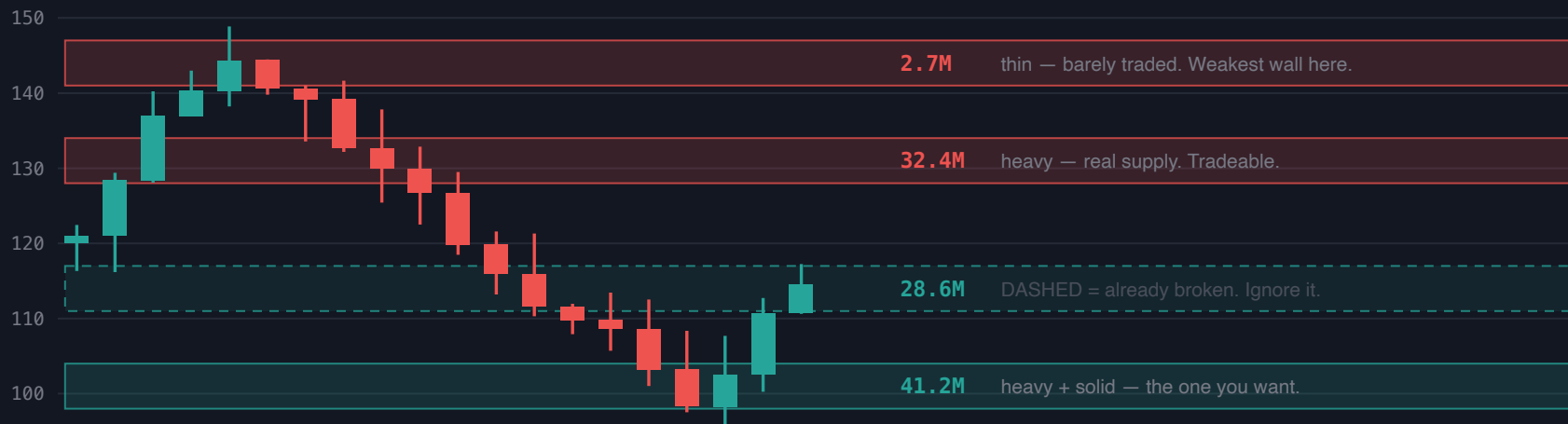
Read that strip before you call the gate slow. It cost the first 42 points of the July decline and the first 30 of the August rally — and kept you out of every countertrend trade in between. That is the deal.

Not every zone is a level. Most of them are noise.

The volume label above each zone is the whole point of the indicator. Read it before you trade off the box.

02

Four zones on one chart. Only two of them are levels.



TRADE THIS

Solid + tens of millions

A real crowd transacted there and will defend it. On a typical chart this is your top two or three zones, not all of them.

SKIP THIS

Thin volume

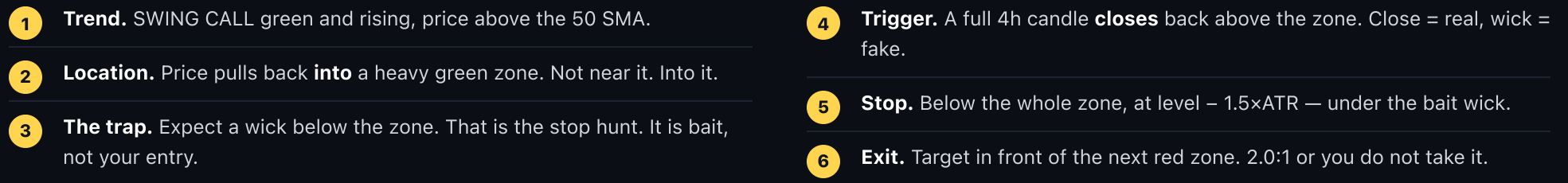
A 2.7M zone on a chart that also shows 32M and 42M zones is not resistance — it is the **weakest** wall on the screen. Always read a zone *relative* to the others.

ALREADY DEAD

Dashed = broken

Price has already gone through it. It carries no information about the future. Do not build a thesis on a dashed box.

The test: before you call a zone support or resistance, find the biggest volume number on your chart and divide. If your zone is under a third of it, you are trading a rumour.



Same chart, run through the ATR math

Do this before you enter, every time. If any line fails, the trade is over — you do not get to average the score.

Level	204.00 ← bottom of the green zone, NOT your entry
ATR (4h, 14)	3.00 read it live, crosshair off the chart
Stop	204.00 − 1.5 × 3.00 = 199.50
Entry	214.00 the 4h close above the zone
Risk / share	214.00 − 199.50 = 14.50
Shares	\$100 / 14.50 = 6
Target	243.00 in front of the 32.4M zone at 246
Reward / sh	243.00 − 214.00 = 29.00
R : R	29.00 / 14.50 = 2.00 ✓ clears 2.0

RISK ON THE TRADE

\$87

6 shares × 14.50

IF TARGET HITS

\$174

6 shares × 29.00

Portfolio gates	
Risk budget per trade	\$75 — \$100
Max open positions	2
Max total risk	~\$200 (4%)
Account	\$5,000
A perfect setup still fails if the book is already full. Count your open trades before you approve a new one.	

Why the level and not the entry: a stop measured down from your entry (214.00 − 4.5 = 209.50) lands **inside the zone** — on top of the support you are buying. The bait wick at 200.50 takes it out and the trade works without you. Page 06.

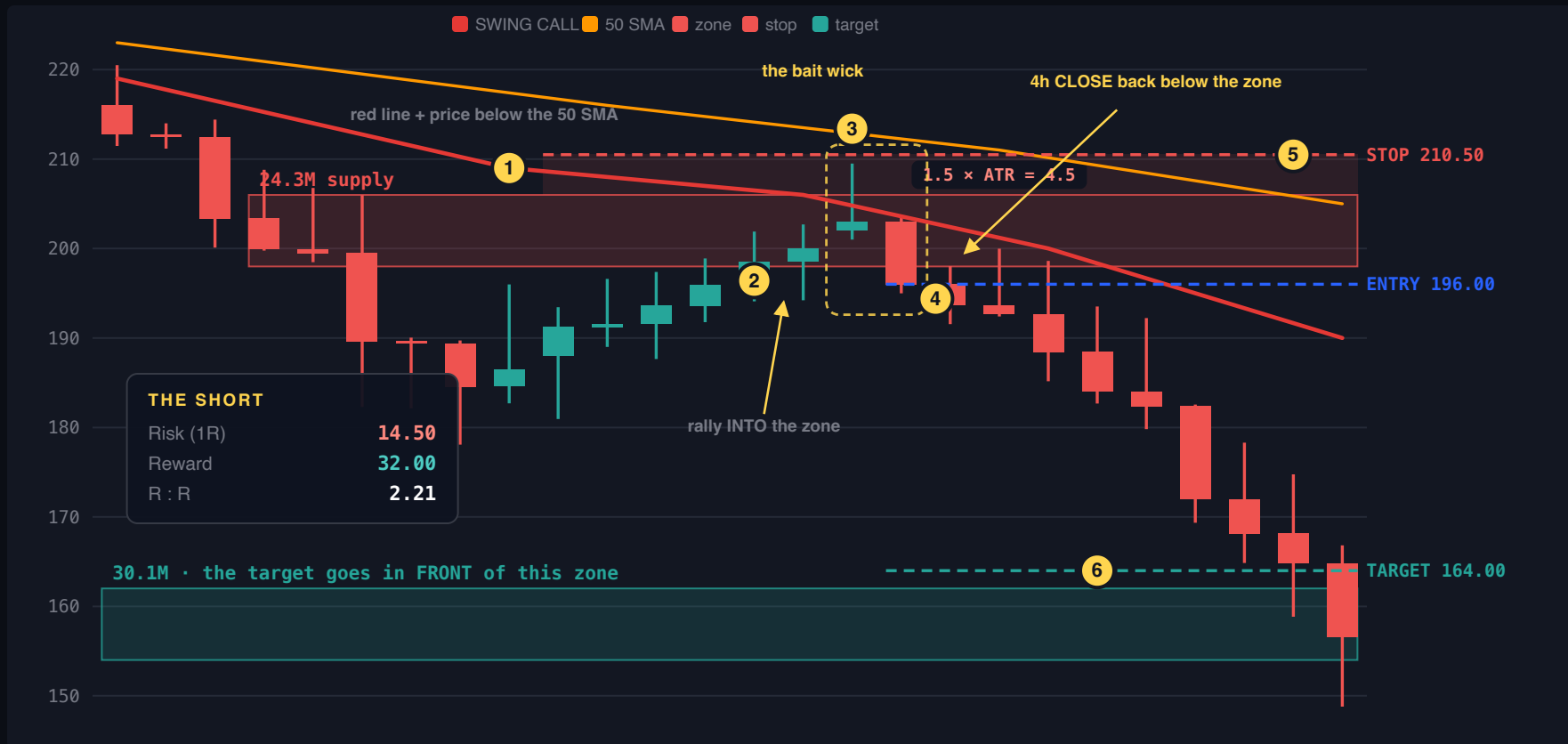
The same setup at four different ATRs							
Level, entry and target never move. Only the ATR changes — and it changes everything.							
ATR (4H)	STOP = 204.00 − 1.5×ATR	RISK / SHARE	SHARES ON \$100	REWARD	R : R	VERDICT	
2.0	201.00	13.00	7	29.00	2.23	TAKE	
3.0	199.50	14.50	6	29.00	2.00	TAKE	
6.0	195.00	19.00	5	29.00	1.53	SKIP	
11.3	187.05	26.95	3	29.00	1.08	SKIP	

Read the last two rows again. Nothing on the chart changed — same zone, same entry, same target. The trade stopped qualifying purely because the stock got more volatile.

The mirror image, and every condition has to flip

Red line, price below the 50 SMA, rally into a heavy red zone, the bait wick above it, then a 4h close back below.

05



- 1 Trend.** SWING CALL **red** and falling, price **below** the 50 SMA.
- 2 Location.** Price rallies **into** a heavy red zone from below.
- 3 The trap.** Expect a wick **above** the zone. Same stop hunt, other direction.

- 4 Trigger.** A full 4h candle **closes** back below the zone.
- 5 Stop.** Above the whole zone, at level + 1.5×ATR — over the bait wick.
- 6 Exit.** Target in front of the next green zone. 2.2:1 here.

Shorting is not longing upside down

The math mirrors cleanly. The risk does not — which is why the bar for taking one is higher.

06

Level	206.00 ← TOP of the red zone
ATR (4h, 14)	3.00
Stop	206.00 + 1.5 × 3.00 = 210.50 ADD, do not subtract
Entry	196.00 the 4h close below the zone
Risk / share	210.50 – 196.00 = 14.50
Shares	\$100 / 14.50 = 6
Target	164.00 in front of the 30.1M zone at 162
Reward / sh	196.00 – 164.00 = 32.00
R : R	32.00 / 14.50 = 2.21 ✓ clears 2.0

RISK ON THE TRADE

\$87

IF TARGET HITS

\$192

Four things that are only true on the short side

1 • The loss is not capped. A long can go to zero. A short can go against you forever. Your stop is the only thing standing between you and that, and a gap jumps straight over it.

2 • Gaps are the real risk, not the stop. Never hold a short through earnings or a scheduled catalyst. Check the earnings date before you size, not after.

3 • The squeeze is a real mechanic. Falling stocks with heavy short interest go up violently for no fundamental reason at all. Being right does not protect you from it.

4 • Momentum names are the worst shorts. The stock that just ran 60% in four sessions is the one that feels most shortable and is the most dangerous. Feeling extended is not a signal.

Rule of thumb: if you cannot point at a red SWING CALL line, do not take the short. Not a smaller short. No short.

Same chart, same ATR, two places to put the stop. One of them loses.

This is the single most common way a correct thesis turns into a losing trade.

07

RIGHT stop = LEVEL – 1.5×ATR = 199.50



WRONG stop = ENTRY – 1.5×ATR = 209.50



Stop = LEVEL – 1.5 × ATR

$$204.00 - 4.50 = 199.50$$

The ATR band is how much this stock normally creaks. Your stop goes below the deepest normal creak, so the stop hunt at 200.50 sweeps the liquidity, misses you, and you are in the trade when it closes back above.

Stop = ENTRY – 1.5 × ATR

$$214.00 - 4.50 = 209.50$$

This parks your stop **inside the zone**, on top of the support you are buying. It is one normal candle from being hit. You get stopped out at the exact price the setup was designed to bounce from, then watch it run to target.

When the stop feels too wide, the answer is never a tighter stop. The ATR is reporting the truth about how the stock moves. The lever is **size** — and if correct size gives you a position too small to bother with, the trade is telling you to skip it.

Everything that is not the picture

These are not hypotheticals — each one is a trade that has already cost you money. Learn the shape so you can reject it in three seconds.

08

1 ENTRY IN MID-AIR



No zone under the entry. Your most expensive habit — grade step 2 loudest.

2 WRONG LINE COLOUR



Buying dips in a downtrend. The line colour is a gate, not a suggestion.

3 ENTERED ON THE WICK



The wick is the bait. Only a completed 4h candle is information.

4 THIN ZONE



Millions of shares or it is not support. Compare it to the others on your chart.

All six steps or no trade. Four out of six is not a pass — it is a losing trade with extra steps. Grade **step 2 (location)** loudest: entering in mid-air is the leak that shows up most often in your history.

A trade that felt obvious and failed on three independent checks

You wanted to short the rejection at the red zone. The thesis may even be right. The trade still is not.

09



CHECK 1 · TREND

SWING CALL is **green** and rising steeply, price far above it. Shorting here is fighting the gate.
Grading stops at step 1.

CHECK 2 · THE ZONE

2.723M is the **weakest zone on the chart** — against 32.4M, 38.3M and 42.5M elsewhere. Thin volume is not sellers defending; it is nobody trading.

CHECK 3 · THE MATH

stop $290 + 1.5 \times 11.3 =$
306.95
risk $306.95 - 270.30 =$
36.65
rewd $270.30 - 226.47 =$
43.83
R:R **1.20** needs 2.0

AND THE TARGET IS MOVING

That line climbed from ~186 to ~222 in four sessions. It is rising toward price, so the 44 points of reward shrink every day you wait — while the 37 points of risk do not. **2 shares, \$88 best case**, against an uncapped downside on a name that just ran 60%.

The redirect: if you genuinely believe NBIS pulls back to the line, your system already has a trade for that view — and it is a **long**. Wait for the dip into a fresh green zone near the rising line, take the 4h close back above it, and target the 290 zone overhead. Same thesis, right side of the trend, and it passes all six steps.

Run this before every entry. Out loud.

If you cannot tick all six plus the gates, you do not have a trade — you have an opinion.

10

The six steps

- ☐ **Trend** — line is the right colour AND price on the right side of the 50 SMA
- ☐ **Location** — price is *inside* a zone, and the zone is tens of millions
- ☐ **The trap** — the bait wick has already printed
- ☐ **Trigger** — a full 4h candle has *closed* back through the zone
- ☐ **Stop** — off the LEVEL $\pm 1.5 \times \text{ATR}$, beyond the bait wick
- ☐ **Exit** — target in front of the next opposing zone, R:R ≥ 2.0

Before you size

- ☐ Crosshair **off** the chart — the legend shows the hovered bar, not live
- ☐ ATR read from the pane, not remembered
- ☐ Fewer than 2 positions open, under ~\$200 total risk
- ☐ No earnings or catalyst before the target (mandatory on shorts)

The five sentences that mean you are about to lose money

"It *looks* extended."

"It failed the zone once, so it is rejecting."

"I will use a tighter stop to make the R:R work."

"The setup is 4 out of 6, close enough."

"I will just get in here and add lower."

Hard rules

Every order placed manually, by you.

Stops never move down. Ever.

One touch of a zone is not a rejection.

A wick is bait. Only a close is information.

Size is the lever. The stop is not.

THE WHOLE DOCUMENT IN ONE LINE

**If it does not look like the picture,
it is not the trade.**